

GOVERNMENT OF INDIA - ECONOMIC SURVEY 2024-25

MACROECONOMIC REVIEW & LOGISTICS SECTOR DEVELOPMENTS

NATIONAL LOGISTICS & COMMERCE LANDSCAPE

According to the Economic Survey and Ministry of Commerce and Industry:

- **Logistics Sector Size:** The Indian logistics sector had a market size of US\$382 billion in 2021, and is projected to expand to US\$531 billion by 2026, growing at a CAGR of 6% to 7% annually.
- **Road Transportation Dominance:** Road freight accounts for approximately 66% of total cargo movement in India, followed by railways. Organised logistics penetration is expected to rise from 3.5% in FY20 to 15% by FY26.
- **E-Commerce Delivery Expansion:** Express parcel delivery is expanding at a CAGR of 28% to 31% by value, driven by D2C commerce, social commerce, and rapid consumer formalisation.

MACROECONOMIC GROWTH AND INFLATION OVERVIEW

- **Real GDP Growth:** India's real GDP grew by 6.5 per cent in FY25, positioning India as the fastest-growing major economy globally.
- **Retail Inflation (CPI):** Headline CPI inflation moderated to an average of 4.6 per cent in FY25 from 5.4 per cent in FY24, supported by softening core inflation and administrative supply management.
- **Foreign Exchange Reserves:** Stood at USD 640.3 billion at end-December 2024, providing import cover for over 10 months and covering approximately 90% of total external debt.